

W. Chan Kim & Renée Mauborgne

Blue Ocean Strategy & Value Innovation

Professors of Strategy · INSEAD · co-directors, INSEAD Blue Ocean Strategy Institute



"The only way to beat the competition is to stop trying to beat the competition."

"Value innovation is the cornerstone of blue ocean strategy."

1 WHY THIS THINKER MATTERS

The most creative strategic move is not to beat rivals but to make them irrelevant. Kim and Mauborgne's Blue Ocean Strategy is the ideation framework that connects Unit 7 creativity to competitive strategy — creating new market space rather than fighting in old ones.

2 INTELLECTUAL FOUNDATION

W. Chan Kim and Renée Mauborgne are professors of strategy at INSEAD and co-directors of its Blue Ocean Strategy Institute. Their decade-plus study of business launches across industries produced value innovation and the blue-ocean toolkit.

3 FRAMEWORKS · TOOLS · MODELS

NAME	WHAT IT IS
Blue Ocean Strategy	Create uncontested market space; make rivals irrelevant
Value Innovation	Pursue differentiation and low cost simultaneously
ERRC grid	Eliminate · Reduce · Raise · Create
Strategy Canvas	Visualise an industry's competing value factors
Four Actions / Six Paths	Systematic moves to reshape market boundaries

4 HOW IT'S OPERATIONALIZED

- Map the industry's value curve on a strategy canvas
- Use ERRC to reshape which factors you compete on
- Break the differentiation-vs-cost trade-off
- Look across the six paths to redefine the market
- Target non-customers to unlock new demand

5 LIMITATIONS & CRITIQUES

- Blue oceans eventually turn red as imitators enter
- Success cases may be selected with hindsight bias
- Execution and capability gaps under-addressed
- Hard to distinguish true value innovation ex ante
- Less applicable to heavily regulated markets

6 ENDURING IMPACT

- *Blue Ocean Strategy* sold millions across 40+ languages
- Value innovation a standard strategy concept
- ERRC and strategy canvas widely taught tools
- Reframed competition around creating new demand
- Direct anchor for BCOBM126 Unit 7 ideation-to-strategy

SELECTED WORKS

BLUE OCEAN STRATEGY <i>Create Uncontested Market Space</i> KIM & MAUBORGNE · 2005	BLUE OCEAN SHIFT <i>Beyond Competing</i> KIM & MAUBORGNE · 2017	BLUE OCEAN STRATEGY (EXPANDED) <i>HBR Press</i> KIM & MAUBORGNE · 2015	VALUE INNOVATION <i>Harvard Business Review</i> KIM & MAUBORGNE · 1997
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REFERENCES (HARVARD · CITE THEM RIGHT)

- Kim, W.C. and Mauborgne, R. (2015) *Blue Ocean Strategy*, Expanded edn. Boston: Harvard Business Review Press.
- Kim, W.C. and Mauborgne, R. (2004) 'Blue Ocean Strategy', *Harvard Business Review*, 82(10), pp. 76–84.